THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

Hiệp Hội Doanh Nghiệp Nhật Bản tại Việt Nam
Phòng 605, Tòa nhà Mặt Trời Sông Hồng, 23 Phan Chu Trinh,
Hoàn Kiếm, Hà Nội
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

The Japanese Chamber of Commerce & Industry in Vietnam
Room 605, Sun Red River Bldg., 23 Phan Chu Trinh St.,
Hoan Kiem Dist., Hanoi
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

THE JAPANESE CHAMBER OF COMMERCE AND INDUSTRY IN VIETNAM

No: 11/2018JCCI

Ref: Measures required for compliance with the conditions of contract in Japanese ODA Loan financed projects

SOCIALIST REPUBLIC OF VIETNAM

Independence –Freedom- Happiness

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Hanoi, 18h May 2018

Respectfully to: H.E. Mr. Nguyen Chi Dung
Minister of Planning and Investment
Government of the Socialist Republic of Vietnam

First of all, we would like to express our sincere appreciation to your strong leadership for improving the investment and business climate in Vietnam. Now, we would like to seek your support and cooperation to the operations of the Japanese Chamber of Commerce and Industry in Vietnam (JCCI).

Following our previous letter dated August 10th 2016, we again would like to bring your attention to an urgent matter regarding the failure of the Employer's responsibility to comply with the conditions of contract of Japanese ODA Loan financed projects. Such failures are non-payment of VAT and import tax which have been always caused by the lack of Counterpart Fund as shown in the attachment as of March 2018.

In case this situation remains, Japanese contractor may have to reduce the work rate, suspend the project in accordance with the conditions of the contract. Furthermore, not only these contractors but also other Japanese companies doing business in Vietnam consider it as a significant business risk and we might be forced to exit from Vietnamese business market.

In order to assure high-quality construction works, we request you to instruct relevant authorities and the Employers to comply with the conditions of contract and promptly solve huge amount of non-payment.

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We thank you very much and look forward to your prompt action and reply.

THE JAPANESE CHAMBER OF COMMERCE AND INDUSTRY IN VIETNAM

Chairman

HỘI CÁC DOANH NGHIỆP NHẬT BẢN TẠI VIỆT NAM
BAN LÃNH ĐẠO

Koji ITO

Recipients:

- As above;

- *H.E. Mr. Trinh Dinh Dung, Deputy Prime Minister;*
- *H.E. Mr. Pham Binh Minh, Deputy Prime Minister, Chair of ODA National Steering Committee;*
- *H.E. Mr. Dinh Tien Dung, Minister of Finance;*
- *H.E. Mr. Nguyen Van The, Minister of Transport;*
- *Ambassador, Embassy of Japan;*
- *Chief Representative, JICA Vietnam Office.*

Payment Delay for VAT and Import Tax as of March 2018

03-2018

Project Name	Owner	Contractor	From Date of Payment Delay for VAT and Import Tax	Payment Delay for VAT Amount (VND)	Payment Delay for Import Tax Amount (VND)
Lach Huyen Port Infrastructure Consruction Project (Port) Package 6	MOT/Maritime Project Management Unit (MPMU)	PENTA OCEAN -TOA JV	04.2017	30,236,655,499	0
Lach Huyen Port Infrastructure Consruction Project (Port) Package 8	MOT/Maritime Project Management Unit (MPMU)	TOYO CONSTRUCTION	08.2017	171,424,856,999	0
Lach Huyen Port Infrastructure Consruction Project (Port) Package 9	MOT/Maritime Project Management Unit (MPMU)	PENTA OCEAN - RINKAI JV	08.2017	90,050,976,290	0
Lach Huyen Port Infrastructure Consruction Project (Port) Package 10	MOT/Maritime Project Management Unit (MPMU)	TOA CORPORATION	06.2017	62,213,801,637	0
Lach Huyen Port Infrastructure Consruction Project (Road and Bridge)	Project Management Unit (PMU2)	Sumitomo Mitsui Construction - Truong Son - Cienco4 JV	03.2016	0	40,178,500,653
Ho Chi Minh City Urban Railway Construction Project (Ben Thanh - Suoi Tien Section (Line1)), Package 1b	Management Authority for Urban Railways (MAUR)	SHIMIZU - MAEDA JV	-	0	0
Ho Chi Minh City Urban Railway Construction Project (Ben Thanh - Suoi Tien Section, Line1) / Package 1a	Management Authority for Urban Railways (MAUR)	SUMITOMO MITSUI - CIENCO4 JV	01.2018	77,625,334,163	0
North-South Expressway Construction Project (Ben Luc-Long Thanh Section) Package J1 (Binh Khanh Bridge)	MOT/Vietnam Expressway Corporation(VEC)	SHIMIZU - VINACONEX E&C JV	-	0	
North-South Expressway Construction Project (Ben Luc - Long Thanh Section) Package J2 (Cha Bridge)	MOT/Vietnam Expressway Corporation(VEC)	SUMITOMO MITSUI - CIENCO4 JV	-	0	
North-South Expressway Construction Project (Ben Luc - Long Thanh Section) Package J3 (Phuoc Khanh Bridge)	MOT/Vietnam Expressway Corporation(VEC)	SUMITOMO MITSUI - CIENCO4 JV	-	0	
Nhat Tan Bridge Construction Project / Package 1	MOT/Project Management Unit No.85(PMU85)	IIS - SUMITOMO MITSUI JV	02.2016	42,342,442,083	0
Nhat Tan Bridge Construction Project / Package 2	MOT/Project Management Unit No.85(PMU85)	SUMITOMO MITSUI - VINACONEX JV	09.2015	5,137,126,942	0
Nhat Tan Bridge Construction Project/ Package 3	MOT/Project Management Unit No.85(PMU85)	TOKYU CONSTRUCTION	01.2017	5,853,599,386	0
			TOTAL	**484,884,792,999**	**40,178,500,653**

